

RSM100 Notes

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Pre Week 1 Notes

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- **3 P's**
 - **Planning** - put them all in your schedule, look at schedules together
 - **Preparation**
 - **Perseverance**
- **Intro to Management**
 - **Managing People**
 - Human resource management
 - **Managing Process of Marketing Goods and services**
 - **Managing Operations**
 - **Analyzing the environment**
 - **Planning for the future**
 - All managers need to understand the basics of these
- **Middle Ring of the Conceptual Map**
 - **Management Functions**
 - Concerned with the planning and organization of resources to achieve organizational goals (Ex. Sales targets)
 - **Marketing Functions**
 - Deal with customers and all efforts at building and maintaining long-term relationships
 - At the heart of marketing is defining and understanding customers and their buying behavior
 - **Finance Functions**
 - Activities include the Accounting process (keeps records and prepares docs for analysis and use)
- **Business**
 - A broad, all-inclusive term applied to various enterprises
 - All profit seeking activities and enterprises
 - Provider of goods and services necessary to an economic system
 - Goods - tangible, can be physically bought or sold
 - Ex. smart phones, cars
 - Services - intangible, provide benefits to others or assistance from others
 - Ex. insurance, concerts
 - Drives economic pulse of a nation
 - Provides the means for standard of living improvement
 - To succeed, businesses must know what their customers want, and they must supply it quickly and efficiently
 - An exchange between a buyer and seller
- **Profits**
 - Represent rewards earned by businesspeople
 - Who take risks blending people, tech, and info
 - To create and market want-satisfying goods and services
 - **The difference between the cost of creating and selling and what customers pay**
 - Representing savings earned by business people who take risks to meet needs
 - Accountant view - difference between a firm's revenues and expenses incurred in generating those revenues
 - Profits are incentives to start and expand companies
- **Non-for-Profit Organizations**
 - Establishments with objectives other than returning profits to owners
 - Some sell merchandise or set up profit making side businesses (Ex. uni bookstore)
 - Public service goals > profit
 - Operate in both public and private sector
 - Public: government agencies, political parties, labor unions

- Private: museums, libraries, trade associations, religious organizations

- **Four Factors of Production**

- **Natural resources** - used in production of a good, includes all production inputs that are useful in their natural states (gas, oil, timber, etc)
- **Human resources**- production inputs consisting of anyone who works, both physical labour and intellectual inputs contributed by workers
- **Capital** - includes technology tools (computer and software), info, and facilities
 - To remain competitive must continually acquire, maintain, and upgrade capital
- **Entrepreneurship** - the willingness to take risks and operate a business
 - 4 factors importance - firms need to understand how to reduce the cost of production if they are going to be successful
- **Knowledge** - encompasses the expertise, information, and intellectual capabilities that individuals and organizations use to drive innovation

- **Private Enterprise System**

- An economic system that rewards firms for their ability to identify and serve needs and demands of customers
- **Capitalism is another name**
 - Economic system determines business ownerships, profits, and resources
 - Firms rewarded for their ability to serve needs
 - Minimizes government intervention
- Adam Smith is the father of capitalism
 - Believed in "invisible hand" regulating competition
- To compete firms must provide competitive differentiation
- Competition - battle among businesses for consumer acceptance
- Competitive differentiation - unique combination of organizational abilities, products, and approaches that sets apart a company from its competitors in the minds of customers
 - **Basic Rights:**
 - Private property - the right to own, use, buy, sell, and hand down land, buildings, machinery, equipment, patents, possessions, etc
 - Guarantees the right to all after-tax profits they earn through their activities
 - Although a business is not assured of earning a profit, its owner legally is entitled to any income it makes that is greater than its costs
 - Freedom of choice - citizens choose their own employment, purchases, and investments. They can change jobs, discuss and agree on wages, join labour unions, and choose among many different brands, goods, and services
 - **A private enterprise economy maximizes individual wealth by providing options**
 - Other economic systems sometimes limit freedom of choice to accomplish government goals, such as increasing industrial production of certain items or military strength
 - **Canadian government has passed laws to prohibit excessively aggressive competitive practices designed to remove competition**
 - Ground rules: no price discrimination, fraud in financial markets, and deceptive advertising and packaging

- **Entrepreneur** - a person who seeks a profitable opportunity and takes the necessary risks to set up and operate a business

- There are ~1.2 million small business in Canada, 98% of all business

- **Most employment in Canada is in the retail sector, followed by manufacturing.**

- **7 Eras in the History of Business**

- **Colonial Period (prior to 1776)** - primarily agricultural
- **Industrial Revolution (1760 - 1850)** - mass production by semi-skilled workers (machine aided)
- **Age of Industrial Entrepreneurs (late 1800s)** - advances in tech and demand for manufactured foods leading to lots of opportunities

- **Production Era (through 1920s)** - emphasis on producing more goods fast, leading to production innovation such as assembly lines
- **The Marketing Era (since 1950s)** - seeking to understand and satisfy needs of consumers
- **Relationship Era (since 1990s)** - benefits derived from deep, ongoing links with individual customers, employees, suppliers, and other businesses
- **Social Era (since 2004)** - businesses interact, connect, communicate, share, and exchange information in virtual communities and networks around the world
- **Consumer orientation** - a business philosophy that focuses first on consumers' unmet wants and needs, and then designs products to meet those needs
- **Branding** - the process of creating in consumers' minds an identity of a good, service, or company
- **Brand** - a name, term, sign, symbol, design, or some combination that identifies the products of one firm and shows how they differ from competitors' offerings
- **Transaction Management** - building and promoting products in the hope that enough customers will buy them to cover costs and earn profits
- **Relationship Management** - collection of activities that build and maintain ongoing, mutually beneficial ties with customers and others
 - Relationship management depends on tech
 - Serving existing customers is much cheaper than acquiring new ones
 - Long term relationships with customers improves the business' understanding of what customers want and prefer from the company
- **Current Trends**
 - Reliable workers - promoting strong ties with customers and partners
 - Workforces capable of efficient, high-quality production
 - Able to compete in global markets
 - Technically savvy and innovative
 - **Big change with into of AI**
 - Ability to analyze vast amounts of data, learn from patterns, and make decisions with minimal human intervention
 - Study of Covid-19 shows acceleration in the adoption rate of digital tech
 - Employers recognized an increase in employee empathy for one another as individuals shared the stress of dealing with COVID-19
 - Employees learned to work remotely and communicated using digital conferencing
 - Chatgpt reached 100 million monthly users after two months, facebook took over 4 years to each that same milestone
 - Chatgpt seen as the fastest growing internet application to date
 - **Strategic Alliance** - a partnership formed to create a competitive advantage for the business involved
 - In international business, a business strategy in which a company finds a partner in the country where it wants to do business
- **Changes in the Workforce**
 - Baby Boomers are hitting peak of careers, while gen x and y are building careers
 - More generations mixing in workplace
 - Millennials, the largest demographic in today's workforce care less about money and the work-comes-first lifestyle
 - Millennials are more open to freelancing or working on contract over traditional full-time employment, expect a flexible work hours along with mobility to work at home, a cafe, or the office
 - Many prefer to use technology to collaborate online, where they can share knowledge, a sense of purpose or mission, and a free flow of ideas across any geographical distance or time zone
 - Tech intensified hiring by requiring more advanced skills
 - **Canada's aging population**
 - Flexible work trends
 - Balancing flexibility with community and collaboration

- **Increasing diverse workforce**
 - ⅓ of Canada's pop growth is due to international immigration (mainly Asia)
 - Employee teams made up of different genders, ethnicities, cultures, religions, ages, and physical/mental abilities are more effective
 - Practical managers also know that attention to diversity issues helps them avoid legal battles that could be very costly
- **Vision** - ability to perceive marketplace needs and how to satisfy
- **Critical thinking** - ability to analyze and assess information to pinpoint problems or opportunities
- **Creativity** - capacity to develop solution to perceived organizational problems
- **Ability to lead change** - guide employees and organizations through changes, must be comfortable with tough decisions and changing conditions
 - Organizational change can come from internal or external sources
- **Strong Company** = stable profits, growth, safe and challenging work environment, quality, ethics
 - **What's Ahead** - new tech, population shifts, emerging nations, shrinking global barriers
- **Outsourcing** - the use of outside vendors to product goods or fulfill services and functions that were previously handled in-house or in-country
 - Best case: reduces costs and allows a firm to concentrate on what it does best
 - Challenges: differences in language or culture
- **Offshoring** - the relocation of business process to lower-cost locations overseas
 - Can involve both production and services
- **Nearshoring** - the outsourcing of production or services to locations near a firm's home base
- **Crowdsourcing** - enlisting the talent of many people to get work done
 - Allows companies to find workers for a specific task or project in a more efficient and cost effective way, using online marketplaces to hire global talent beyond their own workforce
- **Business Ethics** - standards of conduct and moral values
- **Social Responsibility in business** - Management philosophy that considers society's well-being and consumer satisfaction
 - Apple, Microsoft, and Google listed as one of Fortune's most admired companies
- **Economics** - a social science that analyzes the choices people and governments make in allocating scarce resources
- **Economic Problem of Scarcity** - refers to the gap between limited (or scarce resources) and limitless wants
 - This forces people to make decisions around efficient resources allocation so that basic needs and additional wants are satisfied
- **Macroeconomics** - study of a country's overall economic issues
 - Addresses such issues as how an economy as a whole uses its resources and how government policies affect people's standard of living
- **Microeconomics** - study of small economic units, such as individual consumers, families, and businesses
 - Individuals weigh on the benefits and costs related to routine purchases before making a decision, all with the desire to maximize benefits and minimize costs
- **Demand** - refers to the willingness and ability of buyers to purchase goods and services at different prices
 - Driven by a number of factors that influence how people decide to spend their money, including price and consumer preferences
 - In general as the price of a good or service goes up, people buy smaller amounts
 - As price rises, quantity demanded declines
 - Demand curves typically slope downward, meaning that buyers will purchase greater quantities of a good or service as its price falls
 - **Demand curve shifts:**

Factor	Demand Curve Shifts	
	To the Right if:	To the Left if:
Customer preferences	Increase	Decrease
Number of buyers	Increase	Decrease
Buyers' incomes	Increase	Decrease
Prices of substitute goods	Increase	Decrease
Prices of complementary goods	Decrease	Increase
Future expectations become more	Optimistic	Pessimistic

- Changes in household income also change demand
 - Consumers have more money to spend, business can sell more
 - Demand curve shifts to the right
 - Income falls, fewer products are made
 - Demand curve shifts to the left
- **Supply** - the amount of goods and services for sale at different prices
 - Supply curve shows the relationship between different prices and the quantities that sellers will supply or offer for sale, regardless of demand
 - As price increases, other things remain constant, a producer becomes more willing and able to supply the good
 - Movement along the supply curve is opposite of movement along the demand curve
 - As prices rise, quantity of sellers are willing to supply also rises
 - As prices lower, the quantity supplied decreases

Factor	Supply Curve Shifts	
	To the Right if:	To the Left if:
Costs of inputs	Decrease	Increase
Costs of technologies	Decrease	Increase
Taxes	Decrease	Increase
Number of suppliers	Increase	Decrease

- **Equilibrium price** - the point where the two curves meet / the current market price for an item

Characteristics	Types of Competition			
	Pure Competition	Monopolistic Competition	Oligopoly	Monopoly
Number of competitors	Many	Few to many	Few	No direct competition
Ease of entry into industry by new firms	Easy	Somewhat difficult	Difficult	Regulated by government
Similarity of goods or services offered by competing firms	Similar	Different	Similar or different	No directly competing products
Control over price by individual firms	None	Some	Some	Considerable in a pure monopoly; little in a regulated monopoly
Examples	Small-scale farmer in Ontario	Local fitness centre	Telecommunications companies like Bell and Rogers	Rawlings Sporting Goods, exclusive supplier of Major League baseballs

- **Regulated monopoly** - a market situation in which a local, provincial, or federal government grants exclusive rights to a certain market to a single firm
- **Planned economy** - an economic system in which government controls determine business ownership
- **Socialism** - an economic system characterized by government ownership and operation of major industries, such as communications
- **Communism** - an economic system in which all property is shared equally by the people of a community under the direction of a strong central government
- **Mixed market economies** - economic systems that draw from both types of economics, to different degrees
- **Privatization** - the conversion of government-owned and operated companies to privately held businesses

System Features	Planned Economies			
	Capitalism (Private Enterprise)	Communism	Socialism	Mixed Economy
Ownership of enterprises	Businesses are owned privately, often by large numbers of people. Minimal government ownership leaves production in private hands.	Government owns the means of production with few exceptions, such as small plots of land.	Government owns basic industries, but private owners operate some small enterprises.	A strong private sector blends with public enterprises.
Management of enterprises	Enterprises are managed by owners or their representatives, with minimal government involvement.	Centralized management controls all state enterprises in line with three- to five-year plans. Planning now is being decentralized.	Significant government planning pervades socialist nations. State enterprises are managed directly by government bureaucrats.	Management of the private sector resembles that under capitalism. Professionals may also manage state enterprises.
Rights to profits	Entrepreneurs and investors are allowed to receive all profits (minus taxes) that their firms earn.	Profits are not allowed under communism.	Only the private sector of a socialist economy generates profits.	Entrepreneurs and investors are entitled to receive private sector profits, although they often must pay high taxes. State enterprises are also expected to produce returns.
Rights of employees	Workers have the right to choose their own occupation and to join a labour union. These rights have long been recognized.	Employee rights are limited in exchange for promised protection against unemployment.	Workers may choose their occupations and join labour unions, but the government influences career decisions for many people.	Workers may choose jobs and labour union membership. Unions often become quite strong.
Worker incentives	Considerable incentives motivate people to perform at their highest levels.	Incentives are emerging in communist countries.	Incentives are usually limited in state enterprises but do motivate workers in the private sector.	Capitalist-style incentives operate in the private sector. More limited incentives influence public sector activities.

- **Periods of economic prosperity**
 - Unemployment remains low, consumer confidence about the future leads to more purchases, and businesses expand by hiring more employees, investing in new tech, and making additional purchases to take advantage of new opportunities
- **Recession**
 - A cycle of economic contraction that lasts for six months or longer (two consecutive quarters of declining GDP)
 - Consumers frequently postpone major purchases and shift buying patterns toward basic, functional products with low prices.
 - Businesses mirror these changes in the marketplace by slowing production, postponing expansion plans, reducing inventors, and often cutting the size of their workforces
 - People face layoffs, depletion of household savings, much more conservative in their spending - postponing luxury purchases and vacations and they often turn to generic brands and lower-priced retailers such as Dollar Tree
- **Productivity** - the relationship between the number of units produced and the number of human and other production inputs necessary to produce them
 - Machinery almost always delivers a worthwhile productivity boost
 - Can be improved by changing procedures and methods to save time, and therefore money
 - Productivity describes the relationship between the number of units produced and the number of human and other production inputs necessary to produce them.
 - Productivity is a ratio of output to input
 - When a constant amount of inputs generates increased outputs, an increase in productivity occurs

$$\text{Total Productivity} = \frac{\text{Output (goods or services produced)}}{\text{Input (human/natural resources, capital)}}$$

- Many productivity ratios focus on only one of the inputs in the equations: labour productivity, or output per labour-hour

- Increase in productivity means that the same amount of work produces more goods and services than previously
 - Productivity is a widely recognized measure of a company's efficiency
- **Gross Domestic Product (GDP)** - the sum of all goods and services produced within a country's borders during a specific time period, such as a year.
 - In other words, the total national output divided by the number of citizens
 - PPP method uses the total value of all goods and services produced in the country valued at equivalent prices in the United States
 - This is the measure most economists prefer when looking at per capita welfare and when comparing living conditions or use of resources across countries
 - GDP per capita is better than GDP for measuring the average wealth of any individual citizen for a country
- **Inflation** - an economic situation characterized by rising prices caused by a combination of excess consumer demand and increases in the costs of raw materials, component parts, human resources, and other factors of production
 - Devalues money
- **Core inflation rate** - the inflation rate of an economy after energy and food prices are removed
- **Funflation** - economic trend where consumers prefer spending money on enjoyable entertainment experiences over purchasing tangible goods, leading to increased demand and prices for such experiences
 - Trend fuelled by a desire to reclaim lost time during pandemic-induced lockdowns, has led to a decline in sales for traditional retail giants
- **Hyperinflation** - economic situation characterized by soaring prices
- **Deflation** - the opposite of inflation; occurs when prices continue to fall.
- **Measuring Price Level Changes**
 - **Consumer Price Index (CPI)** - a measurement of the monthly average change in prices of goods and services
 - **Producer Price Index (PPI)** - a measurement of the average change in prices of goods and services received by domestic producers
- **Unemployment rate** - the percentage of the total workforce actively seeking work but currently unemployed
 - Four categories:
 - **frictional unemployment** - applies to members of the workforce who are temporarily not working but are looking for jobs.
 - **seasonal unemployment** - joblessness of workers in a seasonal industry.
 - **cyclical unemployment** - people who are out of work because of a cyclical contraction in the economy
 - **structural unemployment** - people who remain unemployed for long periods of time, often with little hope of finding new jobs like their old ones.
- **monetary policy** - government actions to increase or decrease the money supply and to change banking requirements and interest rates to influence bankers' willingness to make loans.
- **expansionary monetary policy** - government actions to increase the money supply in an effort to cut the cost of borrowing, which encourages business decision makers to make new investments, in turn stimulating employment and economic growth.
- **restrictive monetary policy** - government actions to reduce the money supply to curb rising prices, overexpansion, and concerns about overly rapid economic growth.
- **quantitative easing** - an expansionary monetary policy whereby a central bank buys back predetermined amounts of government bonds or other financial assets to increase liquidity and stimulate the economy.
- **fiscal policy** - government spending and taxation decisions designed to control inflation, reduce unemployment, improve the general welfare of citizens, and encourage economic growth
- **budget** - an organization's plan for how it will raise and spend money during a given period of time.
 - **budget deficit** - a situation in which the government spends more than the amount it raises through taxes and fees.

- **national debt** - money owed by the government to individuals, businesses, and government agencies who purchase Treasury bills, Treasury notes, and Treasury bonds sold to cover expenditures.
 - Our national debt is about \$1.4 trillion. That works out to about \$33,654 per person. The United States has approximately 341 million citizens and a national debt of \$36.2 trillion. Thus, each American's share of debt is about \$105,972.17
- **budget surplus** - excess funding that occurs when the government spends less than the amount of funds raised through taxes and fees.
- **balanced budget** - a situation in which total revenues raised and fees equal the total proposed spending for the year.
- **World Economic Forum Global Risks Report**
 - Lists the top global economic risks (and their likelihood and impact) facing the world in the next two years and across the next decade

Global risks ranked by severity over the short and long term
"Please estimate the likely impact (severity) of the following risks over a 2-year and 10-year period."

Risk categories	2 years	10 years
Economic	1 st Misinformation and disinformation	1 st Extreme weather events
Environmental	2 nd Extreme weather events	2 nd Biodiversity loss and ecosystem collapse
Geopolitical	3 rd State-based armed conflict	3 rd Critical change to Earth systems
Societal	4 th Societal polarization	4 th Natural resource shortages
Technological	5 th Cyber espionage and warfare	5 th Misinformation and disinformation
	6 th Pollution	6 th Adverse outcomes of AI technologies
	7 th Inequality	7 th Inequality
	8 th Involuntary migration or displacement	8 th Societal polarization
	9 th Geoeconomic confrontation	9 th Cyber espionage and warfare
	10 th Erosion of human rights and/or civic freedoms	10 th Pollution

Week 1 Notes

Week 1 Notes

- **Dominic - Lizard named frank**
- **"Pressure is a Privilege"**
- **Success in this course**
 - Prepare in advanced
 - Read and attempt material BEFORE class
 - Will help with class participation
 - Keep up-to-date
 - There is a lot of content and the course moves very quickly
 - Expect to spend approx. 5-10 hours a week on this class
 - Be ready for a pop-quiz at anytime (there won't be a pop-quiz but keep that mindset)
 - Attend class - be alert & engaged, take useful notes
 - Quick lecture not review after they are published on Quercus
 - Absorb additional information, make the starting point of an overall learning lifestyle
 - Lectures will often include "What's new in business"
 - Everything is testable but not everything is testworthy
- **The 3's**
 - Reach
 - Roadblock
 - Rituals
- **Sean Mullian**
 - CPA Ontario
 - Be memorable
 - Your network is your networth
 - Networking is who knows you
 - Obstacles are not the barriers to your path, they are the path
 - You aren't selling yourself, you are selling the experience of talking to you
- **Networking tips**
 - Like first - show through tone, voice, body language, questions
 - Focus on other people
 - To be interesting, be interested
 - Simple just ask questions

Week 2 Notes

Week 2 Notes

- **Variables affecting how a business is organized**
 - How easily it can be set up
 - Access to financing
 - Its tolerance of financial risk
 - Its strengths and weaknesses
 - The strength and weaknesses of its competitors
- **Small business**
 - An independent business with fewer than 100 employees and revenues less than \$2 million that is not dominant in its market
 - Many businesses fall into a sort of hybrid definition
 - Only really matters when a firm is applying for work, grants, or lands. Then a means test is used to decide which firms qualify
 - Small businesses generate approx. 35% of the nation's GDP
 - Account for more than half of new jobs
- **Many small business have closed due to ecommerce websites and larger competing operators**
- **21% of all business establishments produce goods while the remaining ones provide a service**
 - Small firms make up 98% of goods-producing businesses and 98% of all service-producing businesses
 - Majority of small business are concentrated in 5 industries
 - Retail trade, construction, professional, scientific, and technical services
 - Most of Canada's farms are owned by individual farmers or families
- **Home-based businesses**
 - Firms operated from the residence of the business owner
- **Management shortcomings**
 - One of the most common causes of small-business failure is mismanagement or management inexperienced
 - Managers may be overconfident in their abilities, not have the right people skills, be poor at judging competition, or simply not have enough time to do everything that needs to be done.
 - Small businesses can increase their chances of success by learning the principles of business, knowing the industry they operate in, developing good interpersonal skills, understanding their own limitations, hiring motivated employees, and seeking professional advice on finance, regulations, and other legal matters
- **Inadequate Financing**
 - First-time business owners often believe that their firms will make enough money from their initial sales to finance continuing operations. However, a business takes time and perseverance, products need to be developed, employees need to be hired, a website needs to be constructed, distribution needs to be planned,

etc. most small businesses, even those with minimal start-up costs, sometimes don't turn a profit for months or even years

- Most small businesses get their start-up money from commercial banks and other financial institutions. This type of financing includes credit lines and loans for non-residential (commercial) mortgages, vehicles, specialized equipment, and leases
- Credit card financing is also an important source for small businesses, but they have high interest rates
 - The heaviest user of credit cards are firms with fewer than 10 employees
- **Government regulations**
 - Small businesses often struggle with government regulations because they don't have the level of resources that large firms do dedicated to this requirement
- **Business Plan**
 - A formal document that details a company's goals, methods, and standards
 - Business plans give the organization a sense of purpose
 - A typical business plan includes:
 - An **executive summary** that briefly answers the who, what, where, when, why, and how questions for the business
 - An **introduction** that includes a general statement of the concept, purpose, and objectives of the business
 - Separate **financial** and **marketing sections** that describe the firm's target market, its marketing plan, and detailed financial forecasts of the need for funds and when the firm is expected to break even, which is the level of sales where revenues equal costs
 - **Résumés of principals**—these are especially important in plans written to obtain financing
 - An effective business plan includes the five sections above, contains the company's mission, and addresses the following issues:
 - The company's mission and the vision of its founders
 - An outline of why the company is unique
 - The customers
 - The competition
 - Financial evaluation of the industry and market conditions
 - Assessment of the risks
- **Business Development Bank of Canada (BDC)**
 - A government agency that assists, counsels, and protects the interests of small businesses in Canada.
 - Created by an act of Parliament in 1944
 - Operates across Canada through offices and resource centres that provide long-term financial assistance and management counseling.
 - Also provides training, technical assistance, and education to help small business prepare or doing business in foreign markets

- The BDC offers individual counselling, courses, conferences, workshops, and a wide range of publications
 - The BDC's management courses cover all functions, duties, and roles of managers.
 - Instructors may be teachers from local colleges or universities or they may be management consultants, bankers, lawyers, or accountants
 - Fees for these courses are low
 - Most pop course is a general survey of 8 to 10 areas of business management
- **Financial Assistance**
 - Most small businesses borrow directly from Canada's financial institutions. These banks, trust companies, and credit unions actively support lending money to small businesses
 - The Canada Small Business Financing Program (CSBFP) is typical of federal and provincial government assistance.
 - When a bank lends money to a small business and is not paid back, the government will guarantee payment for as much as 85% of the loan
 - Some small businesses cannot borrow from traditional lending institutions because they don't have financial history
 - These small businesses may be funded by the BDC or other organizations that may want to help higher-risk firms
 - Eligible small businesses must be operating for profit in Canada and must have annual gross revenues less than \$10 million
- **Business Incubators**
 - A local program designed to provide low-cost, shared business facilities to small start-up companies
 - Canadian Association of Business Incubation is a national association of member organizations.
 - It supports the growth of new and early stage businesses
 - Heavily integrated with American-based programs, which look for promising new businesses wherever they may be in North America
 - More than 1250 business incubator programs operate in North America, with about 7,000 worldwide
 - 93% are run by not-for-profit organizations focused on economic development
 - Nearly half of all incubators focus on new tech

- **Private Investors**
 - **Venture capital**
 - Money invested in a business by another business or group of individuals in return for an ownership share
 - **Crowdfunding**
 - Financing method that involves raising small amounts of money from a large number of people, typically via online platforms, to support a specific business venture
- **Franchising**
 - A contractual business arrangement between a manufacturer or other supplier and a dealer, such a restaurant operator or retailer
 - The average franchise fee is about \$25,000 and the average franchisee investment is between \$150,000 and \$200,000.
 - Of all franchises opened in Canada within the last 5 years, 86% are under the same ownership, and 97% are still in business
 - Ontario leads the rest of Canada in franchising with 65% of Canadian franchise based in that province
 - Franchises have been growing with over 179% growth in retail, 141% in business to business, and 123% in consumer services
 - The restaurant sector realizes 35% of its sales from franchises, 45% in retail
- **Ways to incorporate**
 - Incorporation of a business can be done at the federal or provincial level
 - The Corporate Charter
 - legally, if you incorporate provincially, your corporation has the right to carry on business only in the province where your business is incorporated. This rule is not a problem for businesses that have a fixed location, but it might be a problem for others.
 - Federally incorporated businesses are permitted to operate everywhere in Canada.
 - Corporate Management
 - **Share holders**
 - Owners of a corporation as a result of their purchase of share in a corporation
 - **Preferred shares**
 - limited voting rights, they receive dividends before the holders of common shares
 - If the corporation is dissolved, the owners of preferred shares also have first claims on assets once all debtors are repaid
 - **Convertible** - can be turned into common shares
 - **Redeemable** - can be bought back

- **Participating** - partake with common shares
 - **Cumulative** - dividends carries over
 - **Callable** - company can buy the stock back from the investor at stated rate
 - **Common Shares**
 - If the corporation is dissolved, the owners of preferred shares also have first claims on assets once all debtors are repaid
 - **Board of directors**
 - the governing body of a corporation
 - **Top management**
 - **Middle management**
 - **Supervisory management**
- **Certified Benefit Corporations**
 - Type of for-profit corporate entity that includes a positive impact on society and the environment as part of its defined goals
- **Merger**
 - An agreement in which two or more firms combine to form one company
 - **Vertical merger**
 - A merger that combines firms operating at different levels in the production and marketing process
 - **Horizontal merger**
 - A merger that joins firms in the same industry for the purpose of diversification, increasing customer bases, cutting costs, or expanding product lines
 - **Conglomerate merger**
 - A merger that combines unrelated firms, usually with the goal of diversification, increasing sales, or spending a cash surplus to avoid a takeover attempt
- **Acquisition**
 - An agreement in which one firm purchases another
- **Joint venture**
 - A partnership between companies formed for a specific undertaking
- **Entrepreneur**
 - A person who seeks a profitable opportunity and takes the necessary risks to set up and operate a business
 - May also perform a managerial role, but their main responsibility is to use the resources of their organization's employees, money, equipment, and facilities to accomplish their goals
 - Common traits: willingness to take on risks of starting a new venture, vision, high energy level, need to achieve, self confidence and optimism, tolerance for failure, creativity, tolerance for ambiguity, internal locus of control (the belief that your own

actions, choices, and efforts directly determine the outcomes and events in your life)

- **Managers**
 - Are employees who direct others to reach an organization's goals.
 - Owners of some small start-up firms work as owner-managers to carry out their plans for their businesses and to make up for human resource limitations at their new companies
- **Classic Entrepreneur**
 - A person who identifies a business opportunity and allocates resources to gain access to that market
- **Serial Entrepreneur**
 - A person who starts one business, runs it, and then starts and runs more businesses, one after another
- **Social Entrepreneur**
 - A person who recognizes societal problems and uses business principles to develop innovative solutions
- **Past few decades have brought an increased interest in entrepreneurial careers, created in part by publicity celebrating the successes of technology entrepreneurs**
 - Some choose to become entrepreneurs for many different reasons:
 - Some are motivated by dissatisfaction with the traditional work setting
 - Wanting a more flexible schedule or freedom to make all of the decisions
 - Others launch businesses to fill a gap in goods and services they could use themselves
 - Others start their own firms out financial necessity
 - **Being your own boss** is one of the biggest reasons
 - **Financial success**, entrepreneurs create wealth, many start their ventures with specific goals of becoming rich.
 - **Job security**
 - **Quality of life**
- **Lifestyle entrepreneur**
 - A person who starts a business to gain flexibility in work hours and control over their life
- **Selecting a business idea**
 - (1) find something you love to do and are good at doing
 - (2) find an idea that meets a need in the marketplace
 - People willingly work hard doing something they love, and the experience will bring personal fulfillment
- **Buying an existing business**
 - Some entrepreneurs prefer to buy an established business instead of taking on the risks of starting a new one
 - Advantages: employees are already in place to serve regular customers and to deal with familiar suppliers, the good or service is already known in

the marketplace, and the necessary permits and licenses have already been obtained, easier to get financing

- **Seed capital**
 - Initial funding needed to launch a company
- **Debt financing**
 - Borrowed funds that entrepreneurs must repay
 - Credit cards
 - Family and friends
 - Bank loans
 - Finance companies
- **Equity financing**
 - Funds invested in new ventures in exchange for part ownership
 - Venture capitalists
 - Angel investor
 - Equity can be debt
 - Having cumulative preferred shares (is like having to pay interest) and having them be redeemable means that they can come back and ask for their money
- **Angel investor**
 - Wealthy individuals who invest directly in new ventures in exchange for an equity stake
- **Intrapreneurship**
 - The process of promoting innovation within the structure of an existing organization
- **Skunkworks**
 - A project initiated by an employee who conceives of an idea, convinces top management of its potential, and then recruits human and other resources from within the company to turn the idea into a commercial project
- **Business Sizes**
 - **Mice**
 - Small, agile
 - **Gazelles**
 - Mid sized
 - **Elephants**
 - Fortune 500

Week 3 Notes

Week 3 Notes

- **3 Levels of Management**

- **Top Management**

- Makes the biggest decisions for the company
 - Set the long-term vision, decide company goals, and shape the overall culture.
 - Ex. CEO, CFO, President, etc.

- **Middle Management**

- Turn big goals from top leaders into clear plans for lower managers
 - Focus their attention on specific operations, products, or customer groups within an organization
 - Ex. General managers, plant managers, branch managers, etc.

- **Supervisory (First-line) Management**

- Directly responsible for assigning specific jobs to non-managerial employees and assessing their performance.
 - Work directly with the employees who produce and sell the firm's goods and services.
 - Responsible for carrying out middle managers' plans by motivating workers to accomplish daily, weekly, and monthly goals
 - Ex. supervisors, section chiefs, team leaders

- **Skills Needed by a manager**

- **Technical Skills**

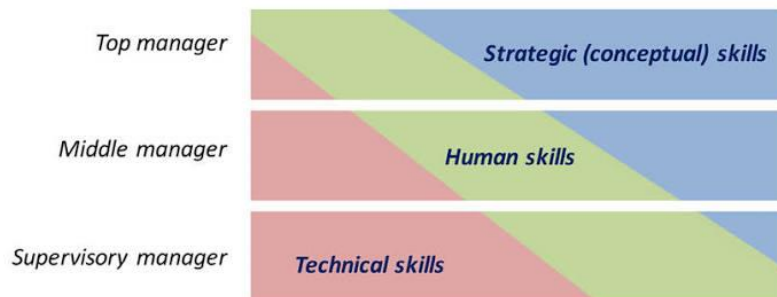
- Ability to understand and use techniques, knowledge, tools, and equipment

- **Human Skills**

- Interpersonal skills that help managers work effectively with others.
 - Include: ability to communicate, motivate, collaborate, lead, and emotional intelligence

- **Conceptual Skills**

- Ability to see the big picture by acquiring, analyzing, and interpreting information and understanding how contributions of each individual unit or function of the organization impacts the whole



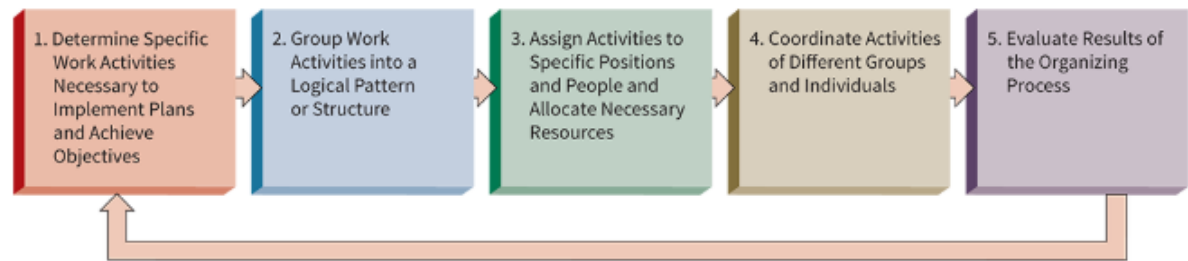
- **Managerial Functions**
 - **Planning**
 - the process of anticipating future events and conditions and deciding on the courses of action for achieving organizational goals
 - **Organizing**
 - the process of blending human and material resources through a formal structure of tasks and authority by arranging work, dividing tasks among employees, and coordinating them to ensure plans are carried out and goals are met.
 - **Directing/Leading**
 - guiding and motivating employees to accomplish organizational goals.
 - **Controlling**
 - the function of assessing an organization's performance against its goals.
- **Vision**
 - the ability to perceive marketplace needs and what an organization must do to satisfy them
- **Types of planning**
 - **Strategic Planning**
 - the process of deciding on an organization's primary objectives and then taking action and setting aside resources to achieve those objectives.
 - **Tactical Planning**
 - involves implementing the activities specified by strategic plans. Tactical plans guide the current and near-term activities required to implement overall strategies
 - **Operational Planning**
 - sets the detailed standards that help carry out tactical plans. This activity involves choosing specific work targets and assigning employees and teams to carry out the plans
 - **Contingency Planning**
 - This type of planning helps firms resume operations as quickly and as smoothly as possible after a crisis. It also makes it easier for them to openly tell the public what happened. Contingency planning activities involve two components: continuing the business and communicating to the public

Primary type of planning	Managerial level	Examples
Strategic	Top management	Organizational objectives, fundamental strategies, long-term plans
Tactical	Middle management	Quarterly and semi-annual plans, departmental policies and procedures
Operational	Supervisory management	Daily and weekly plans, rules and procedures for each department
Contingency	Primarily top management, but all levels contribute	Ongoing plans for actions and communications in an emergency

- **Mission Statement**
 - a written description of an organization's overall business purpose and aims.
 - good mission statement states the firm's purpose for being in business and its overall goal. The most effective mission statements are those that people remember.
- **SWOT Analysis**
 - an analysis of a firm's strengths, weaknesses, opportunities, and threats compared with its competitors, which allows a firm to develop the best strategies for gaining a competitive advantage.
- **Objectives**
 - guideposts by which managers define the organization's desired performance in such areas as new-product development, sales, customer service, growth, environmental and social responsibility, and employee satisfaction.
- **Decision Making**
 - the process of seeing a problem or opportunity, assessing possible solutions, selecting and carrying out the best-suited plan, and assessing the results.
- **Programmed Decision**
 - involves simple, common, and frequently occurring problems that already have solutions. For example, programmed decisions include reordering office supplies, renewing a lease, and referring to an established discount for bulk orders.
 - Programmed decisions are made in advance
- **Non-programmed decision**
 - involves a complex and unique problem or opportunity and has important results for the organization.
 - Non-programmed decisions include entering a new market, deleting a product from the line, or developing a new product
- **Leadership**
 - the ability to direct or inspire people to reach goals
- **Leadership styles**
 - **Autocratic leadership**
 - centred on the boss. Autocratic leaders make decisions on their own without consulting employees.
 - They make decisions, communicate the decisions to employees, and expect the decisions to be carried out right away
 - **Democratic leadership**
 - includes subordinates in the decision-making process. This leadership style centres on employees' contributions. Democratic leaders delegate assignments and projects, ask employees for suggestions, and encourage participation
 - Aim for **empowerment** - *giving employees shared authority, responsibility, and decision making with their managers*
 - **Free-rein leadership**

- believe in minimal supervision. They allow employees to make most of their own decisions. Free-rein leaders communicate with employees frequently
- **Corporate culture**
 - an organization's collection of principles, beliefs, and values.
- **Organization**
 - a structured group of people working together to achieve common goals

FIGURE 7.13 Steps in the Organizing Process



- **Departmentalization**
 - the process of dividing work activities into units within the organization.
 - **Product departmentalization**
 - This approach organizes work units based on the goods and services a company offers
 - **Geographical departmentalization**
 - This form organizes units by geographical regions within a country or, for a multinational firm, by region throughout the world
 - **Customer departmentalization**
 - Customer departmentalization might be used by a firm that offers a variety of goods and services for different types of customers.
 - **Functional departmentalization**
 - Some firms organize work units according to business functions, such as finance, marketing, human resources, and production
 - **Process departmentalization**
 - Some goods and services require multiple work processes to complete their production
 - A manufacturer may set up separate departments for cutting material, heat-treating it, forming it into its final shape, and painting it.
- **Delegation**
 - the managerial process of assigning work to employees
- **Span of Management**
 - the number of employees a manager supervises. These employees are often referred to as *direct reports*
- **Centralization**
 - keeps decision making at the top of the management hierarchy

- **Decentralization**
 - shifts decision making to lower levels. A trend toward decentralization has pushed decision making down to operating employees in many companies.
 - Firms decentralize because they believe the change will improve their service to customers
- **Types of Organization Structures**
 - **Line Organizations**
 - The oldest and simplest organization structure is a line organization. It sets up a direct flow of authority from the chief executive to the employees. The line organization defines a simple, clear chain of command that establishes a hierarchy of managers and workers
 - **Line-and-Staff Organizations**
 - combines the direct flow of authority of a line organization with staff departments that support the line departments. Line departments help to make decisions that affect the firm's core operations
 - **Committee Organizations**
 - a structure that places authority and responsibility in a group of individuals, not a manager.
 - This model often appears as part of a regular line-and-staff structure.
 - **Matrix Organizations**
 - links employees from different parts of the organization who work together on specific projects
 - In the matrix structure, each employee reports to two managers: one line manager and one project manager.
 - Employees who are working on a special project receive instructions from the project manager (horizontal authority), but they continue as employees in their permanent functional departments (vertical authority).
- **Human resource management**
 - the function of attracting, developing, and retaining employees who can perform the activities needed to accomplish organizational objectives.
 - Achieve the following objectives:
 - Provide qualified, well-trained employees for the organization
 - Maximize employee effectiveness in the organization
 - Satisfy individual employee needs through monetary compensation, benefits, opportunities to advance, and job satisfaction
- **Recruitment and selection process**
 - **Step 1: Human Resource Inventory (skills inventory)**
 - contains employee data such as age, gender, education, experience, training, and specialized skills; also called a skills inventory.

- **Step 2: Job Analysis**
 - a process to identify and determine in detail the particular job duties and requirements and the relative importance of these duties for a given job
 - Includes:
 - **Job description**
 - includes information such as job title, location, reporting to and of employees, job summary, nature and objectives of a job, and tasks and duties to be performed
 - **Job specifications**
 - a written statement of the educational qualifications, specific qualities, level of experience, and the physical, emotional, technical and communication skills required to perform a job.
- **On-the-job training**
 - This type of training prepares employees for job duties by having them perform tasks under the guidance of experienced employees.
 - A variation of on-the-job training is apprenticeship training. An employee who is an apprentice learns a job by working as an assistant to a trained worker
- **Management development**
 - provides training designed to improve the skills and broaden the knowledge of current or future managers and executives.
- **Performance appraisal**
 - evaluation of and feedback on an employee's job performance.
- **Compensation**
 - the amount employees are paid in money and benefits
- **Wage**
 - pay based on an hourly rate or the amount of work accomplished.
- **Salary**
 - pay calculated on a periodic basis, such as weekly, bi-weekly, or monthly.
- **Most firm compensation policies follow these factors:**
 - (1) what competing companies are paying
 - (2) government regulations
 - (3) the cost of living
 - (4) company profits
 - (5) an employee's productivity.
- **Employees Benefits**
 - additional compensation, such as vacation time, retirement savings plans, profit sharing, extended health insurance, gym memberships, child and elder care, and tuition reimbursement, paid entirely or in part by the company.
- **Employee Separation**
 - a broad term for the loss of an employee for any reason, voluntary or involuntary

- **Turnover**
 - occurs when an employee leaves their job
 - **Voluntary turnover**
 - occurs when the employee decides to resign for their own reasons, perhaps to take another job, start a new business, or retire.
 - **Involuntary turnover**
 - occurs when employees are terminated because of poor job performance or unethical behaviour in their business practices or in the workplace.
- **Downsizing**
 - the process of reducing the number of employees within a firm by eliminating jobs
- **Outsourcing**
 - using outside vendors, or contracting work to another party, to produce goods or fulfill services and functions that were previously handled in-house or in-country
- **Maslow's hierarchy of needs**
 - a theory of motivation proposed by Abraham Maslow. According to the theory, people have five levels of needs that they try to satisfy: physiological, safety, social, esteem, and self-actualization.
- **Herzberg's Two-factor Model of Motivation**
 - proposes that job satisfaction and dissatisfaction are driven by two completely separate sets of factors rather than existing on a single opposite scale.
 - **Hygiene factors (Extrinsic)**
 - like pay and working conditions - only prevent employee unhappiness but do not actually inspire better work
 - **Motivator Factors (Intrinsic)**
 - Motivating factors are internal parts of the job itself. When they are present, they drive true satisfaction, engagement, and better performance. Yet, their absence does not automatically make workers miserable
 - Recognition, Achievement, Doing interesting and meaningful tasks, Growth and Advancement
- **Expectancy theory of motivation**
 - the process people use to evaluate the likelihood that their efforts will lead to the results they want and the degree to which they want those results.
 - three factors to determine how much effort to put forth:
 - 1) a person's subjective or personal prediction that a certain effort will lead to the desired result.
 - This is the "can do" component of an employee's approach to work.
 - 2) the value of the outcome (reward) to the person.
 - 3) the person's assessment of how likely a successful performance is to lead to a desirable reward.

- **Equity theory**
 - an individual's perception of fair and equitable treatment.
- **Goal-setting theory**
 - the theory that people will be motivated to the extent to which they accept specific, challenging goals and receive feedback that shows their progress toward goal achievement.
- **Management by objectives (MBO)**
 - a systematic approach that helps managers focus on attainable goals and achieving the best results based on the organization's resources.
 - Include the following principles:
 - A series of related organizational goals and objectives
 - Specific objectives for each person
 - Participative decision making
 - A set time period to accomplish goals
 - Performance evaluation and feedback
- **Job enlargement**
 - a job design that expands an employee's responsibilities by increasing the number and variety of tasks. Redesigning the production process is one way to enlarge a job
- **Job enrichment**
 - expands an employee's job duties to empower the employee to make decisions and learn new skills leading toward career growth. A firm might give its managers and sales consultants the power to make decisions about their work, such as how to organize sales presentations and when they prefer to work.
- **Job rotation**
 - involves a system of moving employees from one job to another. Job rotation increases an employee's range of activities. Workers learn more jobs and therefore learn more tasks
- **Theory X, Theory Y**
 - Theory X assumes that employees dislike work and try to avoid it whenever possible.
 - Theory X managers believe that the average worker prefers to receive instructions, avoids responsibility, and takes little initiative. These managers also believe that the average worker views money and job security as the only valid motivators
 - Theory Y assumes that the typical person actually likes work and will seek and accept more responsibility
 - Theory Y managers assume that most people can think of creative ways to solve work-related problems. These managers believe in giving employees the opportunity to participate in decision making.
- **Theory Z**
 - Theory Z tries to blend the best of American and Japanese management practices. This approach views worker involvement as the key to increased productivity for the company and improved quality of work life for employees

- **Labour Union**
 - group of workers who organize themselves to work toward common goals in the areas of wages, hours, and working conditions.
 - found at the local, national, and international levels. A local union represents union members in a specific area, such as a single community.
 - A national union is a labour organization consisting of numerous local chapters.
 - An international union is a national union with membership outside of Canada, usually in the United States.
 - The International Brotherhood of Teamsters is an international union.
- **Collective bargaining**
 - the process of negotiation between management and union representatives
 - Used by labour unions
- **Labour Union Tactics**
 - **Strike**
 - one of the labour union's most effective tools. It involves a temporary work stoppage by workers until a dispute has been settled or a contract signed.
 - A strike generally seeks to disrupt business by calling attention to workers' needs and union demands
 - **Picketing**
 - involves workers marching in a public protest against their employer. This activity is another effective form of union pressure
 - protected under law as long as it does not involve violence or intimidation
 - **Boycott**
 - an organized attempt to keep the public from purchasing the goods or services of a
- **Management Tactics**
 - **Lockout**
 - In the past, management has used the lockout. It is a management "strike" to put pressure on union members by closing the firm
- **Labour Union Future**
 - Canada, the United States, Western Europe, Japan, and other developed nations have shifted from manufacturing economies to information and service economies. As a result, union membership and influence have stayed stable or declined
 - Today, public sector unions include more than 70 percent of all employees
- **Management**
 - Is the the work of turning goals into results, through people and other resources
- **Mintzberg's 10 managerial roles**

- **Interpersonal**
 - How a manager interacts with other people
- **Informational**
 - How a manager exchanges and processes information
- **Decisional**
 - How a manager uses information in decision making
- **Culture eats strategy for breakfast**
 - Structure tells you how the work is supposed to happen
 - Culture tells you how that work actually gets done
- **Culture is deeper than you can see**
 - **See:** artifacts, what you see and hear
 - **Say:** espoused values, what the organization says matters
 - **Believe:** underlying assumptions, what people really believe